



THE 22 IMMUTABLE LAWS OF MARKETING

Violate Them at Your Own Risk!

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The Big “So What”

As world-renowned marketing consultants with more than 25 years of marketing experience, the authors have discovered that some things work in marketing, while others don't. This book presents 22 fundamental marketing laws that have stood the test of time and affect the success of your marketing strategy. It's an essential resource for any business owner, marketing or business executive.



Introduction

According to the authors, the 22 Laws of Marketing are like the laws of nature. If you violate them, your marketing program is doomed to fail, regardless of what you throw at it—be it the brightest, most creative people, or tons of time, energy and money. To succeed, marketers and business managers must learn these laws and work within their framework; otherwise, the laws will automatically work against them.



The Fundamental Laws of Marketing



1. The Law of Leadership

It's better to be first to market, than to wait for a better product.

In marketing, it's always more effective to get into the prospects' minds first, than to try to convince them later that you have a better product.



Think of Heineken (the first imported beer to establish itself in America), Harvard (the first college founded in America), Gillette (the first safety razor), and Charles Lindbergh (the

KEY QUOTES

“There are laws of nature, so why shouldn't there be laws of marketing?”

“Once you open your mind to the possibility that there are laws of marketing, it's easy to see what they are. In truth, they are obvious.”

“Many managers assume that a well-designed, well-executed, well-financed marketing program will work. It's not necessarily so.”

“The leading brand in any category is almost always the first brand in the prospects' mind.”

first person to fly the Atlantic Ocean solo). People tend to remember the firsts, but not the seconds, because:

- o Humans tend to stick with what we've got; and
- o The first brand to market often becomes a generic term for that product category.



Not all first movers succeed, especially if they have bad timing or a bad idea. Still, there's a significant first mover advantage in marketing. Rather than try to watch the market then develop a better product than competitors, focus on developing an entirely new category altogether.



2. The Law of the Category

If you aren't the first in a category, create a new category you can be first in.

Amelia Earhart was not the first to fly Atlantic solo, but she was the first woman to do so; Dell got a foothold in the crowded personal computer space as the first to sell computers *via phone*. **You can always create another category where you can be first in.**



Think in terms of categories rather than brands. Consumers may be defensive about their preferred brands, but they're more open to a new product in an entirely different category.



Once you're the first to market in a new category, promote that category intensively, focusing on why consumers should buy a product in that category. With no competitors in that category, consumers will naturally buy from you, and you can "own" that category.



3. The Law of the Mind

It's better to be first in the consumers' minds, than to be first to market.

The goal of being the first in your category is to get into the minds of consumers first.



After all, marketing is all about perception; what prospects *think* is more important than the reality of the marketplace.

KEY QUOTES

"Benchmarking doesn't work. Regardless of reality, people perceive the first product into the mind as superior."

"The basic issue in marketing is creating a category you can be first in—not in convincing people you have a better product."

"Forget the brand. Think categories."

"When you launch a new product, the first question to ask yourself is not, 'How is this new product better than the competition?' but...what category is this new product first in?"

"Being first in the marketplace is important only to the extent that it allows you to get in the mind first."

Once someone's mind is made up, it's very hard to change.



The most effective way to get in consumers' minds is to make a big enough splash to **be noticed**, rather than to worm your way in gradually. This doesn't necessarily involve tons of money. Apple wasn't first to market, but its name was much easier to remember, compared with the first 5 personal computers—Commodore Pet, IMSAI 8080, MITS Altair 8800, and Radio Shack TRS-80.



4. The Law of Perception

Marketing is a battle of perceptions, not products.

The best products may not win in the long run, because what's "best" is totally subjective. **What's "real" and "true" to the customers are what they perceive in their minds, and marketing is about addressing those perceptions.**



Marketers often try to get the "truth" on their side by using factual comparisons to justify why their product is superior. However, what drives purchases are **people's perceptions**. Toyota sells 4 times as many automobiles in Japan as Honda, because Honda is perceived to be a motorcycle company in Japan.



In fact, most people form their perceptions from just **bits of information**, e.g. an ad-hoc experience, or what they hear from someone else's experience.

The most successful products focus on creating the right perception in the mind of the prospect.



5. The Law of Focus

A key to marketing success is to own a word in the prospect's mind.

This law suggests that marketing is like a magnifying glass: use it to **focus your messages until you "burn" your way into the prospect's mind, linking your product with one single word or concept**. That way, the prospect will think of your product whenever that word comes up. For example, Fedex is linked with "overnight", Volvo with "safety", and Crest with "cavities".

KEY QUOTES

"If marketing is a battle of perception, not product, then the mind takes precedence over the marketplace."

"There is no objective reality...The perception is the reality."

"Most marketing mistakes stem from the assumption that you're fighting a product battle rooted in reality. All the 22 laws of marketing are derived from the exact opposite point of view."

"The only reality you can be sure about is in your perceptions... Marketing is a manipulation of those perceptions."

"The essence of marketing is narrowing the focus... You can't stand for something if you chase after everything."



You must choose a word that's not owned by anyone else. The most **effective words** are (a) simple, (b) benefits-oriented, and (c) create the halo effect, i.e. association with that word brings to mind other benefits (e.g. a "thicker" sauce suggests better quality and richer taste). The narrower and more precise the focus, the more effective it'll be.



However, the word won't work if there's no one claiming the **opposite point of view**, e.g. you can't own "quality" or "honest", since no one will declare they offer poor quality or dishonesty.



Rather than try to protect your word through legal trademarks, focus on getting as many people to **use the word** as possible, so you own it in people's minds.



6. The Law of Exclusivity

No two companies can own the same word in the prospect's mind.

If a competitor already owns a word, go for a different, unique word instead that you can own. The authors gave several examples to show it's almost impossible to claim someone else's word, e.g. how Fedex failed to take "worldwide" from DHL, and Energizer failed to take "long-lasting" from Duracell.

People rarely change their minds, and you're better off owning a unique word, than to throw resources at a competitor's word. In fact, if you try to "steal" your competitor's word, your promotions may end up reinforcing their position instead.



7. The Law of the Ladder

Your strategy depends on the rung of the ladder that you occupy.

In consumers' minds, there's a decision-making hierarchy, like the rungs of a ladder, and each rung is occupied by a brand.



Some product category ladders (e.g. automobiles, toothpaste) can have many rungs, while others may only have 2-3. As a **rule of thumb**: (a) people usually can handle only up to 7 rungs at a time, and (b) you'd have twice the market share of the brand in the next rung. Thus, it can be more attractive to be #2 or #3 on a big ladder, than to be #1 on a small ladder.

KEY QUOTES

"The trick is to get others to use the word. To be a leader you have to have followers."

"The single most wasteful thing you can do in marketing is try to change a mind."

"There's a relationship between market share and your position on the ladder in the prospect's mind."



Ideally, you should be on the top rung of your ladder. However, even if you're perceived to be #2 or #3 in your field, you can still take advantage of your **current position**. Start by assessing where you are on the ladder (or if you are on the ladder at all). Then, develop a marketing strategy that reflects your position on the ladder.



Our minds only take in new data that's **consistent** with our perception. By recognizing where you are in consumers' minds, you could get better results. For example, Avis didn't do well when it marketed itself as the finest rent-a-car service, a position clearly occupied by Hertz. Avis later changed its message to: "Avis is only No. 2 in rent-a-cars. So why go with us? We try harder." This new message was well-received by consumers, and Avis became profitable as a credible #2 player.



8. The Law of Duality

In the long run, all market battles finally come down to 2 key players.

New product categories typically start with many rungs on the ladder. This law predicts that **over time, the rungs get reduced and it eventually becomes a battle between two major players**, e.g. Crest vs Colgate, Nike vs Reebok, or Coke vs Pepsi.



The **timeframe** for this shift may vary from seasons to decades, depending on the category. As the 2 major players fight on, the #2 (which is usually an upstart) will gradually gain market share, while the #1 loses market share.



In the early stages, it can still be attractive to have an increasing share of a big market as the #3 or #4 player. However, as the market matures, consumers will prefer the leading brand, as they assume the market leaders have the best products. Besides the 2 key players, everyone else has only **supporting roles**; the #3 brand will have an unstable market share.

If you can't become #1 or #2 in your industry, you should focus on the niches you can fill profitably as the market leader.



9. The Law of the Opposite

If you're going for the 2nd spot, your strategy is defined by the leader.

KEY QUOTES

"The mind is selective...In general, a mind accepts only new data that is consistent with its product ladder in that category. Everything else is rejected."

*"Only businesses that are No. 1 or No. 2 in their markets could win in the increasingly competitive global arena."
- Jack Welch, ex-CEO, General Electric*

"In strength there is weakness. Wherever the leader is strong, there is an opportunity for a would-be No. 2 to turn the tables."

If you're aiming for the 2nd place in your industry, an effective strategy is to examine where the leader is strongest, and position yourself to offer the opposite. In so doing, you attack the leader's weakness, and take away business from all other alternatives to the leader.

 The weakness must be one that your prospects can readily accept. For example, Scope positioned itself as the good-tasting mouthwash (in contrast to the "medicine breath" associated with Listerine); Pepsi positioned itself as the youthful choice of the new Pepsi Generation, as opposed to Coca-Cola's old, established product.

 When you offer the opposite from the market leader, you present yourself as the best alternative for people who prefer not to buy from that leader for whatever reason. This is much more effective than trying to copy the leader.



10. The Law of Division

Gradually, a category will split into more categories.

A new category will eventually divide into many sub-categories, e.g. the category "computers" has split into mainframes, minicomputers, workstations, personal computers, tablets, etc.

 Each new segment has reasons to exist separately, and operates with different market dynamics from the original category leader.

 To avoid confusing customers, an established category leader should develop a new brand for each new segment that it chooses to enter. For example, General Motors created Chevrolet, Pontiac, Cadillac etc., as the automobiles industry expanded.

 Many companies make the mistake of believing that their industries are converging. Categories don't merge; they split. This pattern is seen in every established industry from TV to beer.



11. The Law of Perspective

Marketing results are only visible after a long time.

KEY QUOTES

"Marketing is often a battle for legitimacy. The first brand that captures the concept is often able to portray its competitors as illegitimate pretenders."

"Too many potential No. 2 brands try to emulate the leader...You must present yourself as the alternative."

"Each segment is a separate, distinct entity. Each segment has its own reason for existence."

"It's better to be early than late. You can't get into the prospect's mind first unless you're prepared to spend some time waiting for things to develop."

"Categories are dividing, not combining."

In marketing, the long-term effects are often the opposite of the short-term effects.

 Sales promotions may bring **short-term revenues**; but in the long-term, they educate consumers not to buy at “regular” prices. In retail, the most effective discount strategy is that of “everyday low prices”, e.g. Wal-Mart or K-Mart. Line-extensions (see the next law) may also boost short-term sales, but dilutes the focus and value of the brand in the long-term.

 Always adopt a **long-term focus** in your marketing programs, as the short term results tend to paint a temporary, false picture.

12. The Law of Line Extensions

It's tempting to extend the equity of a successful brand into new areas.

Often, a successful company starts to believe it can succeed in anything, and starts extending its line of products, by putting its brand on new products in unrelated categories.

 When a company tries to be everything to everyone, it **loses focus** on what made it successful in the first place. The authors share several examples of companies that diversified and lost market share in the long term, e.g. IBM extended from mainframe computers into PCs, workstations, software, networks, telephones, copiers, and many other categories.

 The more products you stretch your brand across, the less money you'll make. The **winning strategy** is to narrow your focus to build a strong position in the prospects' minds.

13. The Law of Sacrifice

To be successful, you must give up something.

To stay focused, there are typically 3 things to be sacrificed:

 **A full product line.** Specialization beats generalization. Brands like Kraft may be well-known, but they don't have the biggest market share in most product categories. Many general stores like Ames and Macy's have also gone bankrupt in the past decade. When Interstate Departmental Stores went bankrupt, it chose to refocus on toys, renamed itself Toys “Я” Us, and went on to become profitable.

KEY QUOTES

“Any sort of couponing, discounts or sales tends to educate consumers to buy only when they can get a deal.”

“Couponing is a drug. You continue to do it because the withdrawal symptoms are just too painful.”

“When you try to be all things to all people, you inevitably wind up in trouble.”

“The more products, the more markets, the more alliances a company makes, the less money it makes.”

“If you want to be successful today, you should give something up.”



A broad target market. When you try to serve a vast market demographic, no one is happy. Instead, when you have a laser-sharp focus, you create a deep impression and end up reaching beyond your target market. For instance, by focusing on youths, Pepsi also appealed to older people who wanted to feel youthful; by focusing on cowboys, Marlboro reached non-cowboys who wanted to feel like “real men”.



Constant changes. If you change your marketing strategy each time the market shifts, nobody will understand what you stand for, and you get nowhere. Be prepared to stick to your focus.



14. The Law of Attributes

There's an effective, opposite attribute to counter every attribute.

Don't try to copy, or even find a word that's similar to the market leader. Go for something that's the complete opposite, which you can own in prospects' minds.



Instead of trying to dislodge the market leader, focus on the segments that the leader currently ignores. For instance, **opposites** to “cavity” (owned by Crest) could be “whitening”, “breath protection”, or “taste”.



You can't predict the size of these neglected segments; the best strategy is to **play up the value** of the new attribute you've selected, to secure the biggest possible market share. If your competitors respond with fear, you'd know you have hit a sweet spot.



15. The Law of Candor

If you admit to a negative, your prospects will treat it positively.

Honesty can be very appealing in marketing, because it's unexpected and thus refreshing. **People expect proof for positive statements in advertising, but they're ready to believe a negative statement.**



When you start your marketing message by confessing to a problem/negative, people tend to open up their minds and become more **receptive**. This puts you in a better position to present the positive points.

KEY QUOTES

“The target is not the market. That is, the apparent target of your marketing is not the same as the people who will actually buy your product.”

“Good things come to those who sacrifice.”

“Too often a company attempts to emulate the leader. It's much better to search for an opposite attribute that will allow you to play off the leader. The key word here is opposite—similar won't do.”

“Your job is to seize a different attribute, dramatize the value of your attribute, and thus increase your share.”

“Candor is very disarming. Every negative statement you make about yourself is instantly accepted as truth. Positive statements, on the other hand, are looked at as dubious at best.”



You can even turn the negative into a positive. When Scope entered the mouthwash market, it presented itself as the “good-tasting” mouthwash to counter Listerine’s bad taste. Rather than deny the fact, Listerine played on the idea and promoted “the taste you hate twice a day”—it admitted to its bad taste, and played on the perception that something that tasted like a disinfectant must kill more germs.



There are 2 key criteria for this law to work, (a) the prospect must instantly agree with the negative (otherwise they’ll get confused), and (b) your message must move quickly to the positive, before benefit of your honesty is lost.



16. The Law of Singularity

There’s always one bold move that can bring massive success.

You won’t succeed in marketing by having more strategies, nor by working harder on many small actions. **Winning in marketing is like winning on the battlefield—there’s always one bold manoeuvre that brings spectacular results.** The challenge is to find and exploit it.



Your competitors will have one spot where they are the most vulnerable. Don’t attack them where they’re strongest; instead, focus your marketing entirely on their Achilles heel, i.e. exploit the crack in their armour and attack where they least expect it.



You won’t find your competitors’ weakness by strategizing in the head office. To know what works and doesn’t work, you must know the market first-hand. To gain true insights, marketing managers must be personally involved at the frontlines of the battle; important marketing decisions simply can’t be delegated.



In 1985, Coca-Cola launched a reformulated “New Coke” to hit back at Pepsi’s sweeter drink. This was a flop, and Classic Coke was quickly reintroduced in 3 months. The authors believed that Coca-Cola’s single advantage against Pepsi-Cola was consumers’ perception that Coke was “The Real Thing”; Coca-Cola could’ve killed Pepsi as a rival if it had focused on this message to the Pepsi Generation, “Kids, come get The Real Thing when you’re ready”. Unfortunately, New Coke had the opposite effect. [Note: New Coke was discontinued in 2002, after this book’s publication in 1994].

KEY QUOTES

“Marketing is often a search for the obvious. Since you can’t change a mind once it’s made up, your marketing efforts have to be devoted to using ideas and concepts already installed in the brain.”

“This law only proves the old maxim: Honesty is the best policy.”

“The only thing that works in marketing is the single, bold stroke. Furthermore, in any given situation there is only one move that will produce substantial results.”

“Marketing managers have to know what’s happening in the marketplace. They have to be down at the front in the mud of the battle.”

“Successful generals study the battleground and look for that one bold stroke that is least expected by the enemy.”



17. The Law of Unpredictability

Since you don't write your competitor's plans, you can't predict the future.

Marketing plans are often based on wrong assumptions of the future. You can't accurately predict the future or what competitors will do.



It's important to be aware of the **general trends**. However, avoid jumping to conclusions or extrapolating too far. Remember that research only measures the past; don't assume that past or current trends will continue in the future.



Instead, build **flexibility** into your organization and plans, so you can respond to changes as they occur. Anticipate what you'd do if something totally unexpected happens; you can even take calculated risks on the future (e.g. gourmet popcorn was launched on the chance that people would pay double for premium popcorn). See change as an opportunity, rather than a threat.



18. The Law of Success

Success breeds arrogance, which breeds failure.

When a brand becomes successful, it's easy for people to lose their objectivity and stop doing what made them successful in the first place.



Their egos get inflated, and they start to impose their own views and preferences, rather than offer what the market wants. They stop following the **laws of marketing**, lose their focus and start putting the brand name on all sorts of products and categories.



It's also common for CEOs of big companies to lose touch with the frontlines; they get bogged down by meetings, events, reports, and delegate the marketing function—which is a big mistake. Marketing is the lifeblood of any company. As a manager, you can delegate your charity events or meetings, but always make time to walk around, see and hear things for yourself. Gather your market intelligence through **first-hand experience**, not via your staff.

KEY QUOTES

"No one can predict the future with any degree of certainty. Nor should marketing plans try to."

"One way to cope with an unpredictable world is to build an enormous amount of flexibility into your organization."

"Ego...can be an effective driving force in building a business. What hurts is injecting your ego in the marketing process."

"When you're blind, it is indeed hard to focus."

"The more you identify with your brand or corporate name, the more likely you are to fall into the line extension trap."



19. The Law of Failure

Failure is inevitable; expect and accept it.

In business and experiments, there will always be failures. Accepting failure as a natural part of the process allows you to admit mistakes early, make adjustments and/or cut your losses.

In most organizations, personal agenda takes precedence over corporate interest—people are afraid to take risks, make mistakes, or disrupt status quo, as it could affect their own career. To address this:



Create an **environment** where people aren't punished for experimenting and trying to find solutions for the company; and



Bring everything out in the open. Separate the evaluation of the concept from the person who'll benefit from it, so the idea can be judged on its own merits.



20. The Law of Hype

What's reported in the press is often the opposite of reality.

Media hype is almost always wrong. Developments that are reportedly going to change the industry (or even the world) often turn out to be failures. New Coke received about \$1 billion worth of publicity, while NeXt computer and USA Today were promoted with great fanfare. All of them failed.



What improves viewership often isn't what will **revolutionize** a market. In fact, companies that are doing really well are often too busy to spin stories in the press.



In any case, major revolutions don't happen overnight. Personal computers and fax machines started out sluggishly, but slowly gathered momentum over the years. Instead of focusing on front-page news, look for the less-sensationalized **stories and clues** buried in the news or market.



21. The Law of Acceleration

Successful marketing is built on trends, not fads.

KEY QUOTES

"Too many companies try to fix things rather than drop things."

*"If you learn something and you're trying something, then you probably get credit for it. But woe to the person who makes the same mistake twice."
- Sam Walton, Wal-Mart*

"No one can predict the future...The only revolutions you can predict are the ones that have already started."

"For the most part, hype is hype...Real revolutions arrive unannounced in the middle of the night and kind of sneak up on you."

Fads are short-term occurrences, whereas trends play out over a long period of time. Companies that invest huge resources to satisfy a spike in demand can collapse when the fad passes.

If you see a business growing rapidly, treat it as a fad first. Try to dampen the demand a little while testing its underlying strength. If it's a long-term trend, it will sustain the momentum and keep going. It's better not to fully satisfy the market demand, than to over-extend yourself and end up in financial crisis.



22. The Law of Resources

To get an idea to take off, you need adequate funding.

No idea in the world can go far without resources. Thus, big boys do have an advantage, and the rich can get richer. You need money to get into the consumers' minds, and you need money to stay there. While publicity is cheaper than marketing, you still need some money to get things rolling. Meantime, venture capital is hard to find.



If you're a **small player** with an idea but no money, you have to use your idea to *find money*, then get marketing help. Some options are:

- o Franchise your idea (like how Monaghan started Domino's Pizza);
- o Marry the money (e.g. Georgette Mosbacher who started La Prairie), divorce the money (e.g. Frances Lear who used part of her divorce settlement to start Lear's magazine), or get money at home (e.g. Donald Trump was backed by his dad's wealth).



If you're a **big company** with huge resources, you already have an advantage. Your challenge will be to distinguish the good vs bad ideas, and spend the money in the right places. *Front-load* your investment by ploughing all your initial earnings back into marketing for the first 2-3 years.

KEY QUOTES

"A fad is a wave in the ocean, and a trend is the tide...Like a wave, a fad is very visible, but it goes up and down in a big hurry. Like the tide, a trend is almost invisible, but it's very powerful over the longer term."

"One way to maintain a long-term demand for your product is to never totally satisfy the demand."

"Even the best idea in the world won't go very far without the money to get it off the ground."

"Here is the bottom line. First get the idea, then go get the money to exploit it."

"You'll get further with a mediocre idea and a million dollars than with a great idea alone."

"Money makes the marketing world go round. If you want to be successful today, you'll have to find the money you need to spin those marketing wheels."